

A large, faint, light gray background image of a classical building with a dome and several columns, resembling the University of North Carolina's Old Well building.

ALPHA **CHALLENGE**

Kenan-Flagler Business School
The University of North Carolina

November 23, 2025

Team Number: 5

Students: Benjamin Guerrero, Max McCartney, Erika Mendes

Buy CRK 5.875% 1/15/30

Investment Summary

Thesis 1:

Geographic Location Positions CRK
Well to Capture Elevated Natural Gas
Demand Through FY27

Thesis 2:

Higher sales volumes and Western
Haynesville development will boost
EBITDAX margins and drive leverage
under 2.0x by FY27

Bond Info

Moody's/S&P	B3/B
Issue Size (\$M)	\$965
OAS (bps)	324
YTW	6.89%
Convexity	0.15
Modified Duration	3.53

	Bull	Base	Bear
2Y HPR (Annualized)	8.44%	7.50%	5.20%

Company Overview

Company Overview

Comstock Resources (CRK) develops and produces natural gas from its large operated position in the Haynesville and Bossier shales in East Texas and Louisiana. The company also provides midstream gathering and treating services through its Pinnacle system.

Revenue Segments

Natural Gas Sales

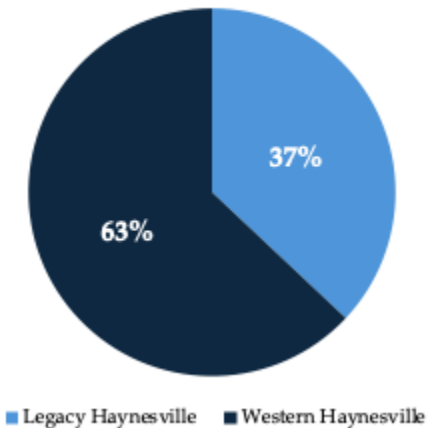
- Producer of natural gas from Haynesville and Bossier acreage, benefiting from strong well productivity.

Gas Services

- Provider of midstream gathering and treating gas services.

Operations

Geographic Net Acreage Split



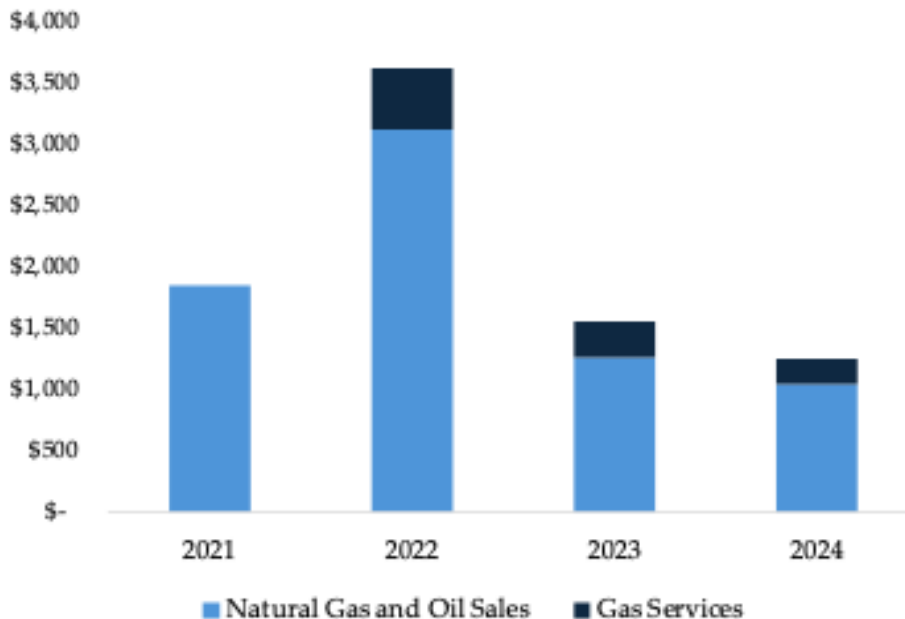
Competitive Landscape

EQT, PR, AR, EXE, OXY, RRC, CNX, CTRA

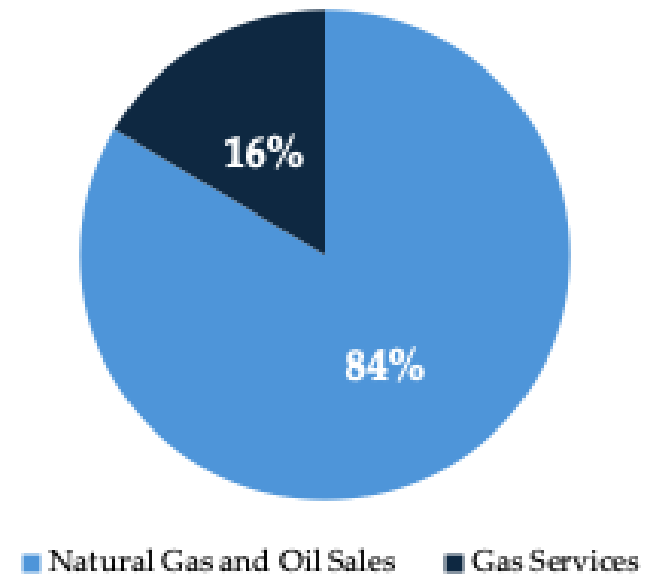
Company Overview

CRK's revenue mix is driven by natural gas production (84%) with midstream gas services providing a supporting 16% of revenues, reflecting its focus as a primarily upstream operator with midstream support.

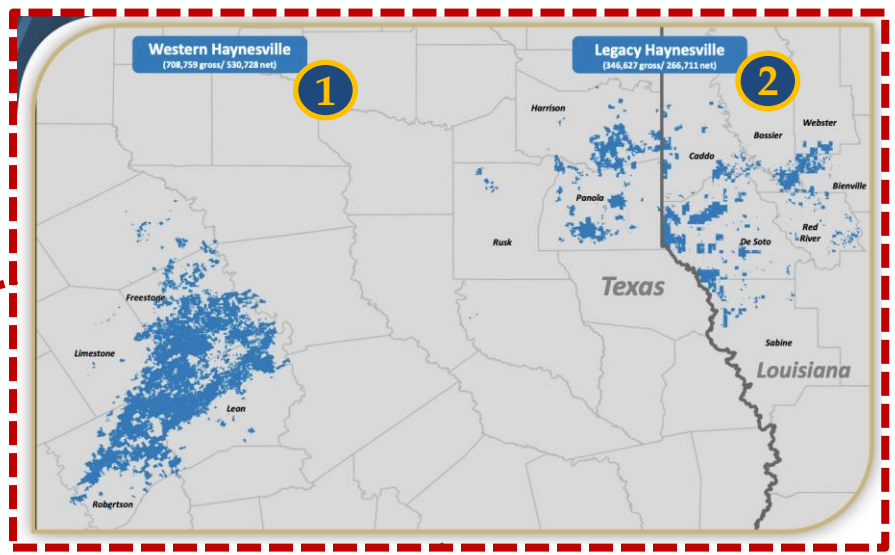
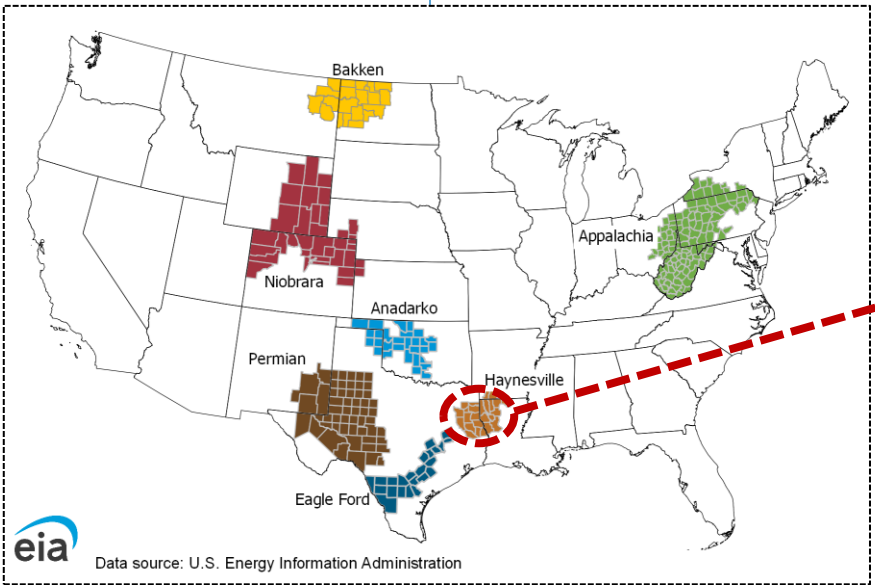
Segment Revenue Performance (\$mn)



2024 Revenues (\$1.25B)



Geography and Industry Positioning



Basin	Commentary
Appalachia	The largest U.S. natural gas basin, dominated by low-cost, high-volume dry gas.
Haynesville	A deep, over-pressured dry gas basin near the Gulf Coast with high deliverability.
Permian	The largest U.S. oil basin with significant associated gas output.

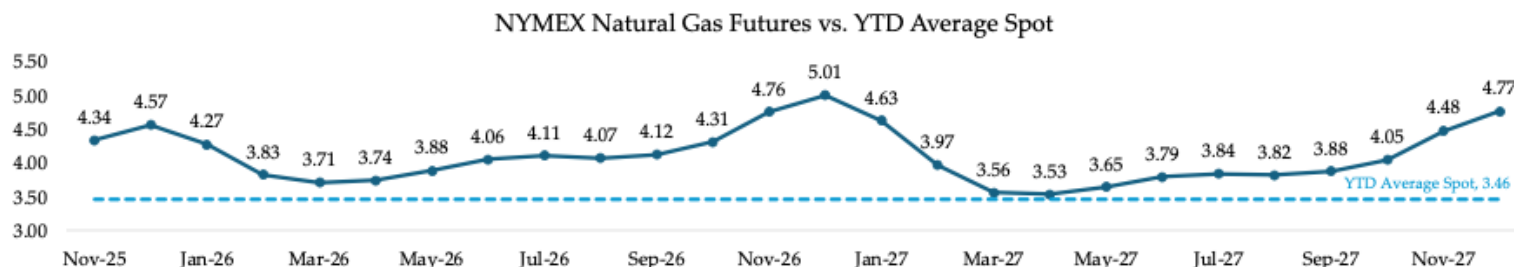
Western Haynesville (1)	Legacy Haynesville (2)
Higher upfront-cost, higher-productivity frontier with superior IPs* (30–40+ MMcf/d) and deeper inventory, but it requires significant midstream buildout.	Mature, lower-cost, midstream-built area with reliable production and minimal basis risk, but with lower IPs* (~25 MMcf/d).

*IP: Initial Production Rates

Investment Thesis

Thesis Point 1: Geographic Location Positions CRK Well to Capture Elevated Natural Gas Demand Through FY27

Natural gas prices are expected to be favorable over the next 2 years supported by strong demand

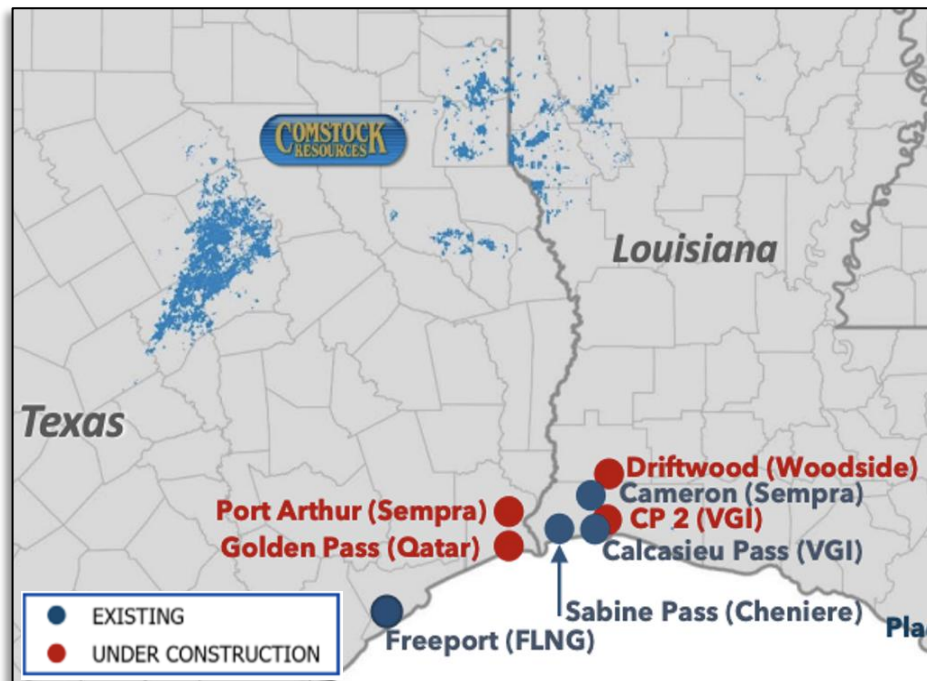


Western and Legacy Haynesville are located very close to major LNG export terminals

- Proximity to Gulf Coast LNG terminals and petrochemical hubs gives Comstock low-cost, short-haul access to the fastest-growing demand center.

Rapidly expanding pipelines near Haynesville will be supportive of higher transport volumes

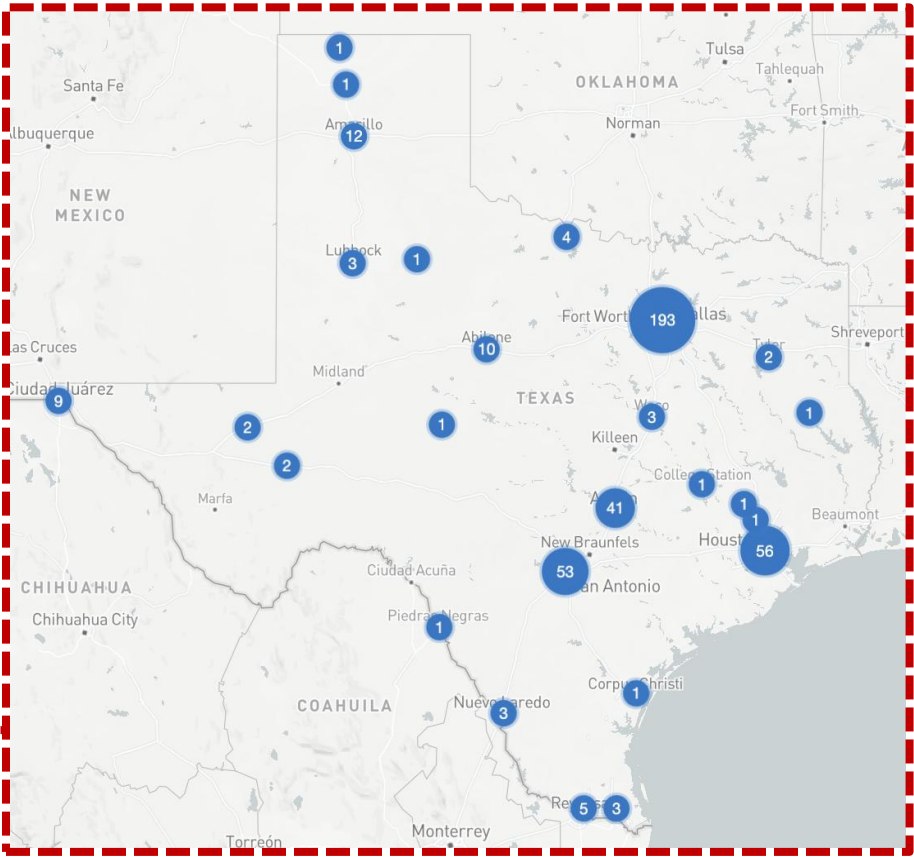
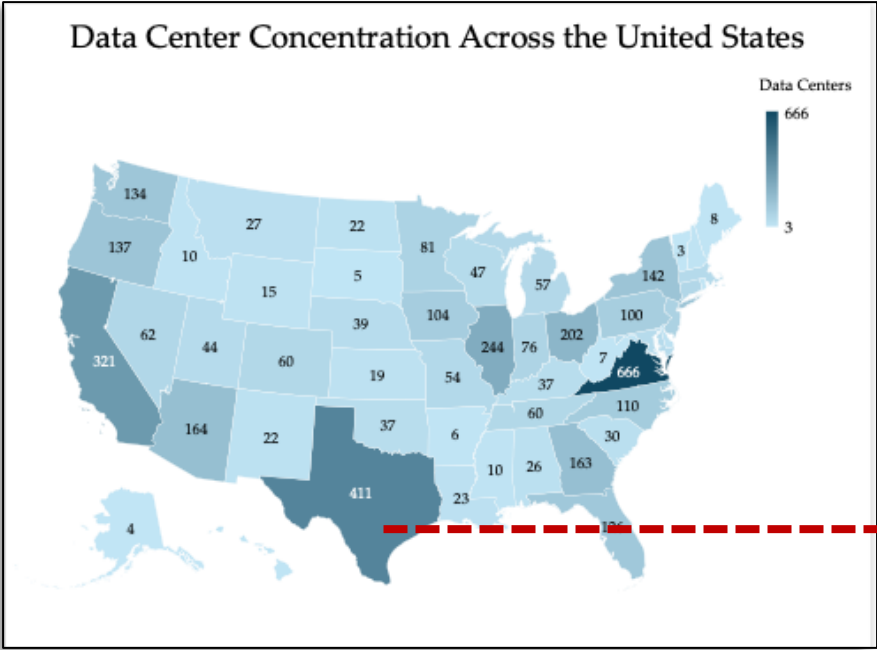
- New projects such as Momentum's NG3 expansion and Williams' Louisiana Energy Gateway are improving bottlenecks, basis pressure, and transport volumes.



Thesis Point 1: Geographic Location Positions CRK Well to Capture Elevated Natural Gas Demand Through FY27

Texas Data Center Concentration Supports Haynesville Development

- CRK’s geographic positioning and partnership with NextEra enable efficient incremental gas supply over competitors.



Thesis Point 2: Higher sales volumes and Western Haynesville development will boost EBITDAX margins and drive leverage under 2.0x by FY27

Increasing Western Haynesville Share

- Western Haynesville volumes are expected to rise through 2027, supported by strong well IPs (~32-35 MMcf/d) and added processing capacity (400 MMcf/d).
- Divesting Shelby Trough and Cotton Valley removes ~17 MMcf/d of lower-margin output and shifts capital for higher-return acreage.

Better Production Economics vs. Legacy

- Western Haynesville has lower breakeven of ~\$1.87/Mcf vs. ~\$3.10 in legacy Haynesville.
- New wells deliver ~32 Bcf of Estimated Ultimate Recoveries (EUR) vs. ~11 BCF in legacy acreage, driving stronger long-term returns.

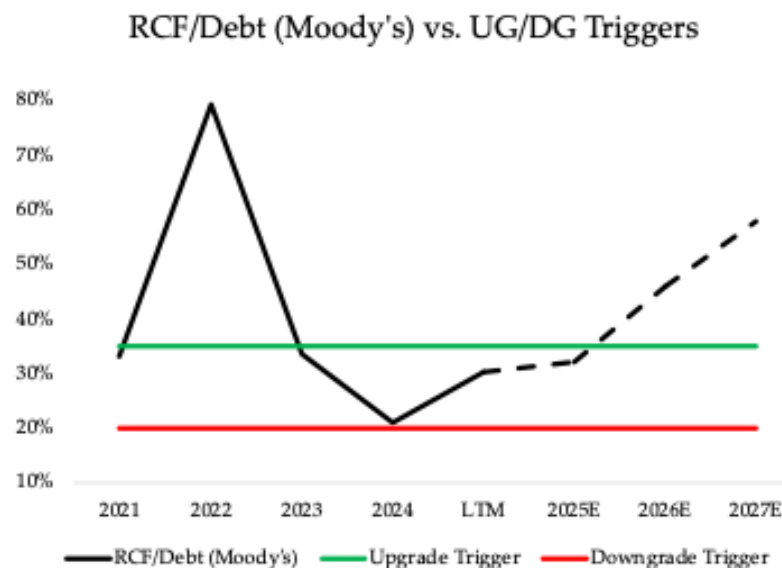
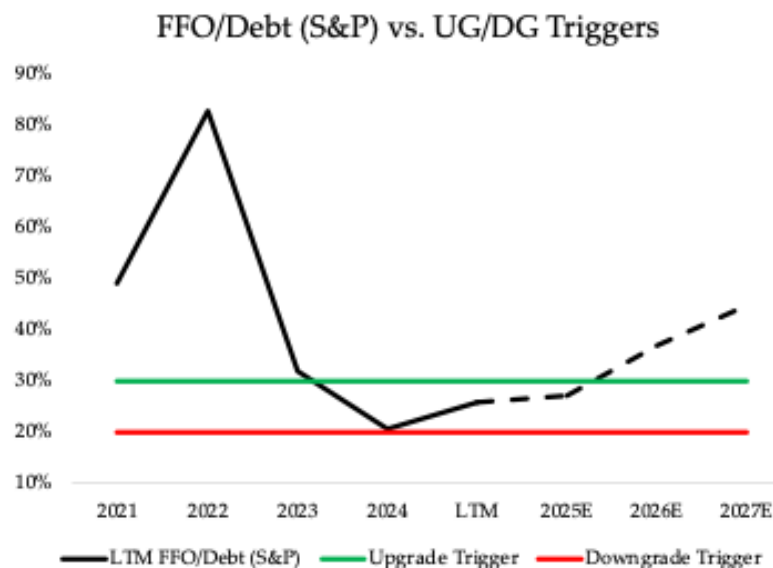
Increasing demand in Western Haynesville should drive adjusted EBITDAX margins towards 64% with leverage expected to decline to <2.0x.

Credit Metrics	2022 12/31/22	2023 12/31/23	2024 12/31/24	LTM 9/30/25	2025E 12/31/25	2026E 12/31/26	2027E 12/31/27
Revenue	3,628.1	1,565.1	1,253.6	1,799.5	1,969.2	2,478.8	2,685.3
Adj. EBITDAX	2,210.4	1,043.7	667.5	966.7	1,151.6	1,554.8	1,706.3
% Margin	60.9%	66.7%	53.2%	53.7%	58.5%	62.7%	63.5%
Total Debt/LTM EBITDAX	1.0x	2.5x	4.4x	3.2x	2.9x	2.1x	1.8x
Net Debt/LTM EBITDAX	0.9x	2.5x	4.4x	3.2x	2.5x	1.8x	1.5x

Thesis Point 2: Higher sales volumes and Western Haynesville development will boost EBITDAX margins and drive leverage under 2.0x by FY27

Improved credit profile could reasonably support ratings improving by a few notches

	2021	2022	2023	2024	LTM	2025E	2026E	2027E
FFO (\$mn)	1,285	1,778	839	606	808	894	1,214	1,359
RCF (\$mn)	859	1,664	878	620	942	911	1,288	1,488



- FFO/Debt is expected to be >30% and RCF/Debt is expected to be >35% by 2026.

Risks and Mitigants

Risks	Mitigants
Natural Gas Price Volatility	CRK maintains an active natural gas hedging program to mitigate volatility, and as of 2025 opened gas storage in Western Haynesville to take advantage of seasonal pricing with greater operational flexibility.
Western Haynesville Development	Recent drilling activity in Western Haynesville has delivered strong and consistent well results, and the area is seeing growing interest from competitors, reinforcing long-term resource quality.
Dependence on Gulf Coast LNG Buildout	CRK can shift volume through its owned midstream and multi-pipeline connectivity if development slows and mix sales through diversified end markets across industrial, petrochemical, and power-gen markets.

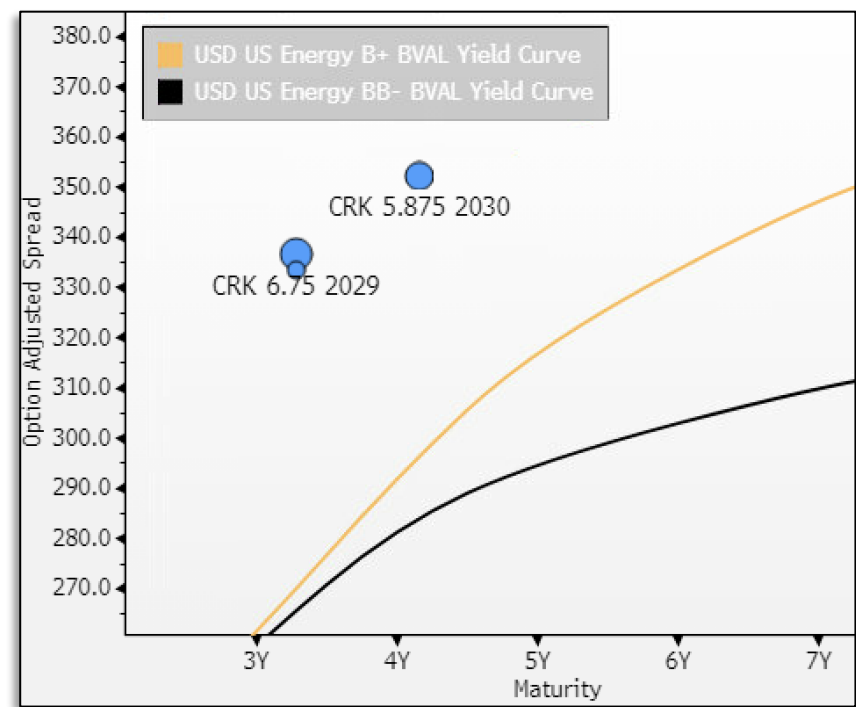
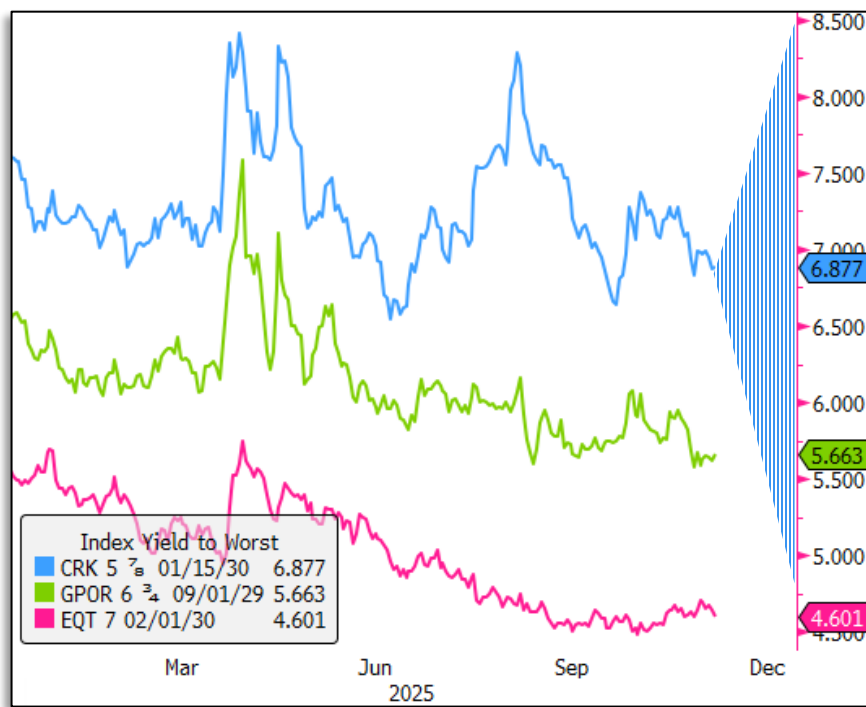
Valuation

CRK currently trades fair relative to its peers due to lower EBITDAX margins, FCF, and credit metrics

LTM 9/30/2025	EQT	Occidental Petroleum	Antero Resources	Gulfport Energy	Comstock Resources	Kosmos Energy
Enterprise Value (\$mn)	48,372	70,499	14,564	4,643	10,580	3,551
EV/EBITDAX	8.6x	5.8x	6.2x	10.9x	10.6x	5.9x
Market Cap (\$mn)	36,751	39,673	10,066	3,954	6,389	674
Revenue	7,949	27,150	5,033	1,264	1,800	1,390
EBITDAX (\$mn)	5,619	12,062	2,357	425	997	605
EBITDAX Margin	70.7%	44.4%	46.8%	33.6%	55.4%	43.6%
CFO	4,757	11,254	1,538	767	943	275
CapEx	2,326	7,455	746	460	1,264	406
FCF (\$mn)	2,431	3,799	793	307	-321	-131
FCF Margin	30.6%	14.0%	15.8%	24.2%	-17.9%	-9.4%
Net Debt	7,982	20,870	3,570	689	3,184	2,915
Net Debt/EBITDAX	1.42x	1.73x	1.51x	1.62x	3.19x	4.81x
Interest Coverage	4.31x	3.64x	6.48x	11.70x	0.89x	-0.73x
FFO/Debt (S&P)	55%	43%	65%	50%	22%	13%
RCF/Debt (Moody's)	51%	40%	43%	110%	32%	8%
LTM 9/30/2025	EQT 7.000%	OXY 8.875%	AR 5.375%	GPOR 6.75%	CRK 5.875%	KOS 3.125%
	2/01/2030	7/15/2030	3/1/2030	9/01/2029	1/15/2030	3/15/2030
Ratings	Baa3/BBB-/BBB-	Baa3/BB+/BBB-	Ba1/BBB-/BBB-	B3/BB-/BB-	B3/B/NR	Caa2/CCC+/B-
Outlook	S/S/S	S/S/P	P/S/S	S/S/S	S/S	N/N
Rank	Sr. Unsec.	Sr. Unsec.	Sr. Unsec.	Sr. Unsec.	Sr. Unsec.	Sr. Unsec.
Principal (\$mn)	1,000	1,000	600	650	965	1,000
Price (\$)	108.63	115.68	100.75	102.76	96.39	54.92
Modified Duration	3.38	3.43	2.09	2.47	3.53	3.58
YTW	4.58%	4.66%	5.02%	5.65%	6.89%	18.87%
OAS	99 bps	108 bps	107 bps	193 bps	324 bps	1,522 bps
5Y CDS	N/A	98	80	N/A	N/A	N/A

CRK 2030 Notes Offer an Attractive 2Y Holding Period Return

	Bull	Base	Bear
Δ YTW	- 200 bps	- 100 bps	+ 150 bps
2Y HPR (Annualized)	8.44%	7.50%	5.20%



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Appendix

Upgrade and Downgrade Triggers

Moody's (B3/Stable)	S&P (B/Stable)
Upgrade Triggers: • Consistent positive FCF • Lower debt, replaces reserves at a competitive ROI • Retained cash flow (RCF) to debt >35% • Leveraged full cycle ratio >1.5x at mid-cycle natural gas prices	Upgrade Triggers: • FFO/Debt >30% • Positive FCF • Adequate liquidity • Production/reserves expanded to levels comparable to higher-rated peers
Downgrade Triggers: • Consistent negative FCF, • RCF/Debt <20%, • Production declines, • Liquidity deteriorates	Downgrade Triggers: • FFO/Debt <20% • Weak liquidity • CapEx increases without corresponding production increases, • <\$2.50 per million Btus for Henry Hub natural gas

Leverage Sensitivity Analysis

2027 Leverage Sensitivity: Natural Gas Pricing (\$/MMBtu) vs. Production Volume (MMcf/day)										
	1,300	1,350	1,400	1,450	1,500	1,550	1,600	1,650	1,700	1,750
2.00	3.36x	3.31x	3.25x	3.20x	3.15x	3.10x	3.05x	3.00x	2.96x	2.91x
2.15	3.26x	3.20x	3.14x	3.08x	3.03x	2.97x	2.92x	2.87x	2.82x	2.77x
2.30	3.17x	3.10x	3.04x	2.98x	2.92x	2.86x	2.80x	2.75x	2.70x	2.65x
2.45	3.08x	3.01x	2.94x	2.87x	2.81x	2.75x	2.69x	2.64x	2.59x	2.54x
2.60	3.00x	2.92x	2.85x	2.78x	2.72x	2.65x	2.59x	2.54x	2.48x	2.43x
2.75	2.92x	2.84x	2.76x	2.69x	2.63x	2.56x	2.50x	2.44x	2.39x	2.33x
2.90	2.84x	2.76x	2.68x	2.61x	2.54x	2.48x	2.41x	2.36x	2.30x	2.25x
3.05	2.77x	2.69x	2.61x	2.53x	2.46x	2.40x	2.33x	2.27x	2.22x	2.16x
3.20	2.70x	2.62x	2.54x	2.46x	2.39x	2.32x	2.26x	2.20x	2.14x	2.09x
3.35	2.64x	2.55x	2.47x	2.39x	2.32x	2.25x	2.19x	2.13x	2.07x	2.01x
3.50	2.58x	2.49x	2.40x	2.33x	2.25x	2.18x	2.12x	2.06x	2.00x	1.95x
3.65	2.47x	2.38x	2.30x	2.22x	2.15x	2.09x	2.02x	1.97x	1.91x	1.86x
3.80	2.37x	2.28x	2.20x	2.13x	2.06x	2.00x	1.94x	1.88x	1.83x	1.77x
3.95	2.27x	2.19x	2.11x	2.04x	1.98x	1.91x	1.86x	1.80x	1.75x	1.70x
4.10	2.19x	2.11x	2.03x	1.96x	1.90x	1.84x	1.78x	1.73x	1.68x	1.63x
4.25	2.11x	2.03x	1.96x	1.89x	1.83x	1.77x	1.71x	1.66x	1.61x	1.57x
4.40	2.05x	1.97x	1.90x	1.83x	1.77x	1.71x	1.66x	1.61x	1.56x	1.51x
4.55	2.01x	1.93x	1.86x	1.79x	1.73x	1.67x	1.62x	1.57x	1.52x	1.48x
4.70	1.97x	1.89x	1.82x	1.76x	1.69x	1.64x	1.58x	1.53x	1.48x	1.44x
4.85	1.94x	1.86x	1.79x	1.72x	1.66x	1.60x	1.55x	1.50x	1.45x	1.40x
5.00	1.90x	1.83x	1.75x	1.69x	1.62x	1.57x	1.51x	1.46x	1.42x	1.37x

- Black box indicates leverage produced using our forecasting assumptions

FCF Sensitivity Analysis

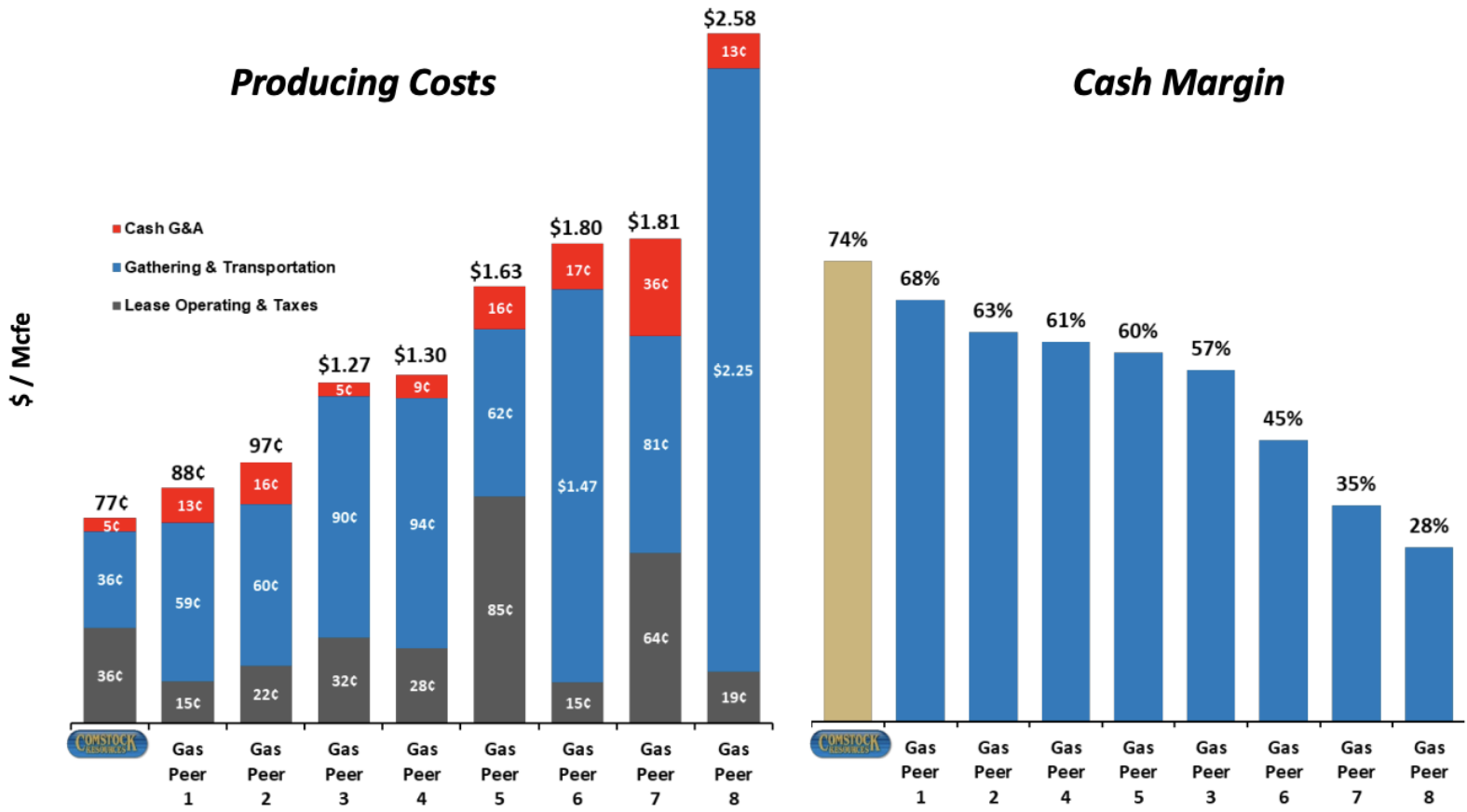
2027 FCF Sensitivity (\$mn): Natural Gas Pricing (\$/MMBtu) vs. Production Volume (MMcf/day)										
	1,300	1,350	1,400	1,450	1,500	1,550	1,600	1,650	1,700	1,750
2.00	-536.0	-511.6	-487.2	-462.8	-438.4	-414.0	-389.6	-365.2	-340.8	-316.4
2.15	-510.2	-483.3	-456.4	-429.5	-402.6	-375.7	-348.8	-321.9	-295.0	-268.1
2.30	-484.3	-454.9	-425.5	-396.2	-366.8	-337.4	-308.0	-278.6	-249.2	-219.9
2.45	-458.4	-426.6	-394.7	-362.8	-331.0	-299.1	-267.2	-235.3	-203.5	-171.6
2.60	-432.6	-398.2	-363.9	-329.5	-295.1	-260.8	-226.4	-192.1	-157.7	-123.3
2.75	-406.7	-369.9	-333.0	-296.2	-259.3	-222.5	-185.6	-148.8	-111.9	-75.1
2.90	-380.8	-341.5	-302.2	-262.8	-223.5	-184.2	-144.8	-105.5	-66.2	-26.8
3.05	-355.0	-313.1	-271.3	-229.5	-187.7	-145.9	-104.0	-62.2	-20.4	21.4
3.20	-329.1	-284.8	-240.5	-196.2	-151.9	-107.6	-63.2	-18.9	25.4	69.7
3.35	-303.2	-256.4	-209.6	-162.8	-116.0	-69.2	-22.5	24.3	71.1	117.9
3.50	-277.4	-228.1	-178.8	-129.5	-80.2	-30.9	18.3	67.6	116.9	166.2
3.65	-228.6	-176.8	-125.1	-73.3	-21.5	30.2	82.0	133.8	185.6	237.3
3.80	-179.8	-125.6	-71.3	-17.1	37.2	91.4	145.7	200.0	254.2	308.5
3.95	-131.1	-74.4	-17.6	39.1	95.9	152.6	209.4	266.1	322.9	379.6
4.10	-82.3	-23.1	36.1	95.4	154.6	213.8	273.0	332.3	391.5	450.7
4.25	-33.6	28.1	89.8	151.6	213.3	275.0	336.7	398.4	460.2	521.9
4.40	7.5	71.7	135.9	200.2	264.4	328.6	392.8	457.0	521.2	585.4
4.55	33.4	100.1	166.8	233.5	300.2	366.9	433.6	500.3	567.0	633.7
4.70	59.3	128.5	197.6	266.8	336.0	405.2	474.4	543.5	612.7	681.9
4.85	85.1	156.8	228.5	300.1	371.8	443.5	515.2	586.8	658.5	730.2
5.00	111.0	185.2	259.3	333.5	407.6	481.8	555.9	630.1	704.3	778.4

- Black box indicates FCF produced using our forecasting assumptions

Cost Structure

Best-in-class cost structure of gas producers

50% lower than peer average



Source: Public filings. Based on Q3'25 reported actuals. Gas peers consist of: AR, BKV, CNX, CTRA, EQT, EXE, GPOR and RRC.

Management Team

Jay Allison

- Chief Executive Officer and Chairman of the Board
- Oil and gas attorney for 6 years and Chairman of the Board of Directors of Bois d'Arc Energy for 4 years

Roland Burns

- President and Chief Financial Officer
- Certified Public Accountant
- Worked at Arthur Andersen's oil and gas audit practice and Bois d'Arc

Trey Newell

- Vice President of Corporate Development and Chief Commercial Officer
- Over two decades of commercial, marketing, and operations experience

Daniel Harrison

- Chief Operating Officer
- Operations engineer at Cimarex Energy Company and worked with various oil and gas companies

Company Overview

Comstock Resources (CRK) develops and produces natural gas from its large operated position in the Haynesville and Bossier shales in East Texas and Louisiana. The company also provides midstream gathering and treating services through its Pinnacle system.

Natural Gas Sales

- 83% FY24 Revenues

Gas Services

- 16% FY24 Revenues

12 Months Ending Date	2018 Y 12/31/18	2019 Y 12/31/19	2020 Y 12/31/20	2021 Y 12/31/21	2022 Y 12/31/22	2023 Y 12/31/23	2024 Y 12/31/24	LTM 9/30/25	Sparklines
Revenue	390.3	768.7	858.2	1,850.7	3,628.1	1,565.1	1,253.6	1,799.5	
Natural Gas Spot	3.19	2.09	2.39	3.66	3.52	2.58	3.40	3.12	
EBITDA	248.80	553.50	582.60	1372.80	2799.30	895.10	665.30	988.60	
Exploration Expense	0.00	0.20	0.00	0.00	8.30	1.80	0.00	8.80	
EBITDAX	248.8	553.7	582.6	1,372.8	2,807.6	896.9	665.3	997.4	
Margin (%)	64%	72%	68%	74%	77%	57%	53%	55%	
Cash From Operations	188.0	451.2	575.7	859.0	1,698.4	1,016.8	620.3	942.5	
Capital Expenditures	(319.9)	(486.8)	(509.7)	(689.2)	(1,067.8)	(1,425.1)	(1,097.5)	(1,263.8)	
Free Cash Flow	(131.9)	(35.5)	66.0	169.8	630.6	(408.2)	(477.1)	(321.3)	
Short and Long Term Debt	1,244.4	2,503.6	2,520.2	2,621.8	2,243.4	2,711.9	3,025.8	3,203.1	
Debt/EBITDAX	5.0x	4.5x	4.3x	1.9x	0.8x	3.0x	4.5x	3.2x	

Capital Structure, Liquidity, and Credit Statistics

Liquidity Model (\$mn)	2022 12/31/22	2023 12/31/23	2024 12/31/24	LTM 9/30/25	2025E 12/31/25	2026E 12/31/26	2027E 12/31/27
Cash	54.7	16.7	6.8	19.2	461.8	474.0	441.0
\$1.5bn Sr. Sec. Rev. exp. 11/15/2027	1,500.0	1,020.0	1,085.0	920.0	920.0	920.0	1,165.0
Total Liquidity	1,554.7	1,036.7	1,091.8	939.2	1,381.8	1,394.0	1,606.0

Capital Structure (\$mn)	2022 12/31/22	2023 12/31/23	2024 12/31/24	LTM 9/30/25	2025E 12/31/25	2026E 12/31/26	2027E 12/31/27
Revolving Credit Facilities							
\$1.5bn Sr. Sec. Rev. exp. 11/15/2027	-	480.0	415.0	580.0	580.0	580.0	335.0
\$1.4bn Sr. Sec. Rev. exp. 7/16/2024	-	-	-	-	-	-	-
Senior Unsecured Notes							
CRK 6.750% Sr. Unsec. Due 3/1/2029	1,224.0	1,224.0	1,624.0	1,624.0	1,624.0	1,624.0	1,624.0
CRK 5.875% Sr. Unsec. Due 1/15/2030	965.0	965.0	965.0	965.0	965.0	965.0	965.0
Total Capital Structure Debt	2,189.0	2,669.0	3,004.0	3,169.0	3,169.0	3,169.0	2,924.0

Credit Metrics	2022 12/31/22	2023 12/31/23	2024 12/31/24	LTM 9/30/25	2025E 12/31/25	2026E 12/31/26	2027E 12/31/27
Total Debt/LTM EBITDAX	1.0x	2.5x	4.4x	3.2x	2.9x	2.1x	1.8x
Net Debt/LTM EBITDAX	0.9x	2.5x	4.4x	3.2x	2.5x	1.8x	1.5x
EBITDAX/Interest	12.9x	6.2x	3.2x	4.4x	5.2x	7.0x	7.6x
EBITX/Interest	9.8x	2.5x	-0.7x	1.2x	2.1x	3.4x	3.6x
LTM FFO/Debt (S&P)	82.6%	31.8%	20.5%	25.9%	27.2%	36.9%	44.6%
RCF/Debt (Moody's)	79.3%	33.5%	21.1%	30.3%	32.2%	45.7%	57.1%

Income Statement

Income Statement (\$mn)	2022 12/31/22	2023 12/31/23	2024 12/31/24	LTM 9/30/25	2025E 12/31/25	2026E 12/31/26	2027E 12/31/27
Revenues							
Natural Gas Sales	3,117.1	1,259.5	1,043.9	1,347.0	1,467.9	1,977.4	2,183.9
Oil Sales	7.6	5.2	3.6	2.8	2.8	2.8	2.8
Total Natural Gas and Oil Sales	3,124.7	1,264.6	1,047.5	1,349.8	1,470.7	1,980.2	2,186.7
Gas Services	503.4	300.5	206.1	449.6	498.6	498.6	498.6
Total Revenues	3,628.1	1,565.1	1,253.6	1,799.5	1,969.2	2,478.8	2,685.3
Operating Expenses							
Production and Ad Valorem Taxes	77.9	91.8	57.4	40.7	50.6	61.3	75.9
Gathering and Transportation	155.7	184.9	194.9	168.8	168.5	199.3	227.8
Lease Operating	111.1	132.2	130.5	126.3	126.9	148.2	169.4
Exploration	8.3	1.8	-	8.8	8.8	-	-
Depreciation, Depletion and Amortization	489.5	607.9	795.4	685.8	654.8	766.5	876.0
Gas Services	465.0	282.1	205.4	457.8	512.3	512.3	512.3
General and Administrative	39.4	38.0	39.4	45.0	48.9	60.0	64.0
Gain (Loss) on Sale of Assets	(0.3)	(0.1)	(0.9)	2.5	2.5	-	-
Total Operating Expenses	1,346.6	1,338.5	1,422.2	1,535.6	1,573.2	1,747.6	1,925.3
Operating Income	2,281.5	226.6	(168.6)	263.9	396.0	731.2	759.9
Other Income (Expenses)							
Gain (Loss) from Derivative Financial Instruments	(662.5)	187.6	10.2	(30.7)	48.3	-	-
Other Income	0.9	1.8	1.2	3.1	2.8	-	-
Interest Expense	(171.1)	(169.0)	(210.6)	(221.4)	(223.5)	(223.5)	(223.5)
Loss on Early Extinguishment of Debt	(46.8)	-	-	-	-	-	-
Transaction Costs	-	-	-	-	-	-	-
Total Other Income (Expenses)	(879.5)	20.4	(199.2)	(248.9)	(172.3)	(223.5)	(223.5)
Income (Loss) before Income Taxes	1,401.9	247.0	(367.8)	15.0	223.7	507.7	536.5
(Provision for) Benefit from Income Taxes	(261.1)	(35.1)	149.1	63.1	(33.7)	(116.8)	(123.4)
Net Income (Loss)	1,140.9	211.9	(218.8)	78.1	190.0	391.0	413.1
Preferred Stock Dividends and Accretion	(16.0)	-	-	-	-	-	-
Net income attributable to noncontrolling interest	-	(0.8)	(10.9)	(21.6)	(25.0)	(25.0)	(25.0)
Net Income (Loss) Available to Common Stockholders	1,124.9	211.1	(229.7)	56.6	165.0	365.9	388.1

Income Statement Metrics

Income Statement Metrics (\$mn)	2022 12/31/22	2023 12/31/23	2024 12/31/24	LTM 9/30/25	2025E 12/31/25	2026E 12/31/26	2027E 12/31/27
Expenses (\$/Mcf)							
Production and Other Taxes	0.16	0.18	0.11	0.09	0.11	0.12	0.13
Gathering and Transportation	0.31	0.35	0.37	0.37	0.38	0.39	0.39
Lease Operating	0.22	0.25	0.25	0.28	0.28	0.29	0.29
DD&A	0.98	1.16	1.50	1.52	1.46	1.50	1.50
Expense Margins							
Production and Ad Valorem Taxes	2.5%	7.3%	5.5%	3.0%	3.4%	3.1%	3.5%
Gathering and Transportation	5.0%	14.6%	18.6%	12.5%	11.5%	10.1%	10.4%
Lease Operating	3.6%	10.5%	12.5%	9.4%	8.6%	7.5%	7.7%
Exploration	0.3%	0.1%	0.0%	0.6%	0.6%	0.0%	0.0%
Depreciation, Depletion and Amortization	15.7%	48.1%	75.9%	50.8%	44.5%	38.7%	40.1%
Gas Services	92.4%	93.9%	99.7%	101.8%	102.8%	102.8%	102.8%
General and Administrative	1.1%	2.4%	3.1%	2.5%	2.5%	2.4%	2.4%
Effective tax rate (%)	18.6%	14.2%	40.5%	-421.7%	15.1%	23.0%	23.0%
Growth Rates (y/y%)							
Natural Gas Sales	75.5%	-59.6%	-17.1%	21.9%	40.6%	34.7%	10.4%
Oil Sales	-89.9%	-32.1%	-30.3%	-29.7%	-22.0%	0.0%	0.0%
Gas Services	NA	-40.3%	-31.4%	137.9%	141.9%	0.0%	0.0%
Total Revenues	96.0%	-56.9%	-19.9%	38.7%	57.1%	25.9%	8.3%
Net income attributable to noncontrolling interest/Gas service revenue	0.0%	0.3%	5.3%	4.8%	5.0%	5.0%	5.0%
Adj. EBITX	1,674.1	425.9	(143.2)	261.4	475.0	759.7	795.1
% Margin	46.1%	27.2%	-11.4%	14.5%	24.1%	30.6%	29.6%
% Growth q/q							
% Growth y/y	141.7%	-74.6%	-133.6%	164.0%	81.7%	60.0%	4.7%
Adj. EBITDAX	2,210.4	1,043.7	667.5	966.7	1,151.6	1,554.8	1,706.3
% Margin	60.9%	66.7%	53.2%	53.7%	58.5%	62.7%	63.5%
% Growth q/q							
% Growth y/y	45.9%	-52.8%	-36.0%	8.4%	19.1%	35.0%	9.7%

Cash Flow Statement

Cash Flow Statement (\$mn)	2022 12/31/22	2023 12/31/23	2024 12/31/24	LTM 9/30/25	2025E 12/31/25	2026E 12/31/26	2027E 12/31/27
Cash Flows from Operating Activities							
Net Income (Loss)	1,140.9	211.9	(218.8)	78.1	190.0	391.0	413.1
<i>Adjustments to reconcile net loss to net cash provided by operating activities</i>							
Deferred income taxes	228.3	44.3	(124.9)	(37.3)	37.4	116.8	123.4
Gain (loss) on sale of assets	(0.3)	(0.1)	(0.9)	2.5	2.5	-	-
Depreciation, depletion, and amortization	489.5	607.9	795.4	685.8	654.8	766.5	876.0
(Gain) loss on derivative financial instruments	662.5	(187.6)	(10.2)	30.7	(48.3)	-	-
Cash settlements of derivative financial instruments	(862.7)	80.3	207.8	70.6	22.7	-	-
Amortization of debt discount and issuance costs	10.3	8.0	11.5	11.9	11.9	11.9	11.9
Loss on early extinguishment of debt	6.6	-	-	-	-	-	-
Stock-based compensation	46.8	9.9	15.3	19.5	21.9	28.5	35.2
(Increase) decrease in accounts receivable	(242.4)	278.7	56.6	(17.1)	(29.2)	(22.5)	(18.9)
Decrease in other current assets	(10.3)	0.7	(22.9)	2.0	24.2	-	-
Decrease in accounts payable and accrued expenses	229.3	(37.1)	(88.5)	95.8	23.0	(4.2)	47.2
Net cash provided by operating activities	1,698.4	1,016.8	620.3	942.5	910.8	1,288.1	1,487.9
Cash Flows from Investing Activities							
Capital expenditures and acquisitions	(1,067.8)	(1,425.1)	(1,097.5)	(1,263.8)	(1,258.8)	(1,258.8)	(1,258.8)
Prepaid drilling costs	(34.1)	(34.0)	12.0	(11.6)	5.4	-	-
Proceeds from Sale of Assets	4.2	41.3	1.2	15.2	445.2	-	-
Net cash used for investing activities	(1,097.7)	(1,417.8)	(1,084.3)	(1,260.2)	(808.2)	(1,258.8)	(1,258.8)
Cash Flows from Financing Activities							
Borrowings on bank credit facility	755.0	820.0	645.0	605.0	745.0	745.0	745.0
Repayments of bank credit facility	(990.0)	(340.0)	(710.0)	(440.0)	(580.0)	(745.0)	(990.0)
Issuance of Senior Notes	-	-	372.0	-	-	-	-
Issuance of common stock	-	-	100.5	-	-	-	-
Retirement of Senior Notes	(273.9)	-	-	-	-	-	-
Common Stock Dividends Paid	(34.7)	(139.0)	-	-	-	-	-
Preferred Stock Dividends Paid	(16.0)	-	-	-	-	-	-
Debt and stock issuance costs	(10.8)	(0.1)	(6.9)	(0.1)	(0.0)	-	-
Income tax withholdings on equity awards	(6.3)	(1.9)	(3.4)	(11.0)	(11.0)	-	-
Contributions from noncontrolling interest	-	24.0	60.5	181.0	215.5	-	-
Distributions to noncontrolling interest	-	-	(3.7)	(11.7)	(17.1)	(0.0)	(0.0)
Net cash provided by financing activities	(576.7)	363.0	454.1	323.2	352.4	(17.1)	(262.1)
Net increase (decrease) in cash and cash equivalents	24.0	(38.0)	(9.9)	5.4	455.0	12.2	(33.0)
Cash and cash equivalents, beginning of period	30.7	54.7	16.7	6.8	6.8	461.8	474.0
Cash and cash equivalents, end of period	54.7	16.7	6.8	12.2	461.8	474.0	441.0
Free Cash Flow	630.6	(408.2)	(477.1)	(321.3)	(348.0)	29.3	229.0
FFO (S&P)	1,778.2	839.5	606.0	808.5	894.4	1,214.6	1,359.4
RCF (Moody's)	1,663.7	877.9	620.3	942.5	910.8	1,288.1	1,487.9